Paulie's Cider Australia: Joint Venture Term Sheet

Draft for discussion · Non-binding · November 2026

THE DEAL IN ONE LINE

A new Australian company, co-owned by Paulie's Cider LLC and Josh, runs Paulie's in Australia under a license from Paulie's Cider LLC. Josh leads operations; Paulie's Cider LLC provides the brand and launch funding.

OWNERSHIP AND CONTROL

Company	Paulie's Cider Australia Pty Ltd (new)
Shareholders	Paulie's Cider LLC: 50%, issued at formation. Josh: 50%, earned over 4 years (1-year cliff) while he leads the business.
Contributions	Paulie's Cider LLC: brand license + launch funding. Josh: leads operations, sales strategy and the local team.
Board	One director appointed by each shareholder. At least one Australian resident (Dom to start, until Josh's visa allows).
Joint approval	Both shareholders must approve: budgets, borrowing, new shares, related-party deals (incl. Paradiso and Ventura), any salaries or fees to shareholders or their related parties, sale of the business, and new products.
Deadlock	Escalate to a meeting of both shareholders, then an independent mediator. The brand license stays with Paulie's Cider LLC throughout.
New equity	Any equity for Ventura or others: TBD by both shareholders (e.g., from an agreed pool)

BRAND

Brand license	Paulie's Cider LLC owns the trademark, recipe and all products and variants, and licenses them to the company for Australia
Royalty	3% of Net Sales in year 1, 5% from year 2, paid quarterly. Net Sales = gross sales less GST, alcohol tax, returns and capped trade discounts.
Change of control	License ends on any sale of the company or its business unless Paulie's Cider LLC consents

MONEY

Launch funding	Paulie's Cider LLC loans the first keg and can runs (amount TBD) at a market interest rate. Repaid before any dividends. After launch, the business funds itself from sales and bank trade finance.
Profit	Split 50/50 as dividends. Once the loan is repaid and an agreed cash reserve is held, at least 50% of each year's after-tax profit is paid out.
Reporting	Monthly P&L and cash summary; annual accounts reviewed by an accountant

SALE / LIQUIDITY EVENT

Order of payment	1. Any shareholder loans repaid in full. 2. Price for the Australian trademark rights paid to Paulie's Cider LLC (an agreed share of the total deal, e.g., 30–40%). 3. Remaining proceeds split by shareholding.
Selling shares	Approved sales bind both shareholders, and either can join on the same terms. A shareholder must offer its shares to the other before selling to anyone else.
If Josh steps away	Unearned shares lapse. Paulie's Cider LLC may buy earned shares at fair value (or at cost if he leaves for cause or competes).
Non-compete	No competing cider brand in Australia while a shareholder and for 12 months after

To agree: (1) launch loan amount and rate, (2) share of a sale price allocated to the trademark rights, (3) cash reserve before profits are paid out, (4) how any Ventura equity is funded.

Non-binding draft for discussion. Not legal or tax advice; final terms to be documented by lawyers in Australia and the US.